represents a reversal of the price trend and a downward breakout is a continuation.

Average rise or decline. The best performance from rectangles comes in bull markets after upward breakouts. In fact, when the breakout is in the same direction as the general market trend, the pattern performs better.

For example, rectangles in bear markets with downward breakouts show declines averaging 26% (trading with the trend), but those in bull markets decline an average of just 16% (a countertrend trade). This behavior shows the market's influence, and it reinforces the belief that you should trade with the general market trend.

Standard & Poor's 500 change. Compare the size of the market's move with the average rise or decline from rectangles. Notice how the general market supports the rectangle's move. A large drop in the S&P associates with a large drop from the rectangle. A large up move in the market translates into a large upward move from the rectangle. Countertrend moves are smaller. This bears repeating: Trade with the market trend. Add the industry trend to the mix, and if all trends agree (market, industry, and stock), then you'll increase your chance of having a winning trade.

Days to ultimate high or low. The following is a calculation I consider fun to do. Notice that the drop in bull markets sees price decline an average of 16% and takes 40 days. In bear markets, the drop measures 26% and takes 32 days. If you do the math, you'll find that price in bear markets drops twice as fast as it does in bull markets.

How many change trend? This is a count of how many rectangles see price move more than 20% after the breakout. For upward breakouts, I like to see values over 50%. For downward breakouts, I don't have any guidelines, but the big total in bear markets is one reason why this pattern has a performance rank of 2.

Table 51.3 shows failure rates. For small moves, rectangles in bear markets (downward breakout) do best, with just 6% failing to drop more than 5%. When the maximum limit reaches 25%, rectangles in bull markets with upward breakouts have lower failure rates.

Notice how quickly the failure rates climb. In bear markets, a count of rectangles failing to drop no more than 10% after the breakout sees the